

ESG integration leads to better operational efficiency, sustainable profitability, better risk management and strong governance

of Things (IoT), artificial intelligence, digital twins and so on help us look at our emissions, making sure that we are far more sustainable, improving our operating efficiency and lowering our impact on the environment,” says Richard Lobo, Head-Innovation, R&D, Business Excellence and Chief Ethics Counsellor at Tata Chemicals. The Mithapur plant has been water-neutral for many years.

Environmental metrics also play a key role in reducing operational costs. Energy and emissions tracking can help a company identify areas to implement energy efficiency improvements and incorporate renewable energy measures in their operations, say experts. Over the long run, this leads to significant savings in terms of energy and costs. Plus, there are other benefits. “Transparency with respect to the disclosures can help attract capital and gain the trust of investors. In addition, banks are increasingly conducting ESG due diligence before extending finance to compa-

nies. Thus better ‘E’ performance may also lead to lower interest rates and other avenues of green financing from financial institutions,” says Updeep Singh Chatrath, President and CEO of textiles major Sutlej Textiles and Industries Ltd. Sutlej, a part of the KK Birla Group, has implemented backward integration by establishing its own process to get raw materials required to produce ‘green’ fibre instead of relying on external suppliers. It has incorporated energy efficiency measures that reduce carbon emissions and leads to overall cost reduction. In addition, it utilises post-consumer recycled polyester in drapery and upholstery, leading to lower consumption of water and energy.

A company’s performance on environmental metrics demonstrates its commitment to green practices and sustainability and has the potential to enhance its brand reputation among customers as well.

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THE SOCIAL ASPECT

Let’s come to the second aspect of ESG. Social factors are pivotal in determining a company’s long-term sustainability and ability to face challenges. It includes factors such as human rights, fair labour practices, living conditions, health, safety, diversity, work-life balance, community engagement, philanthropy, and much more. “Any lapse in these factors has a potentially adverse impact on productivity, branding and overall culture of any organisation. For example, penalty on account of flouting labour laws, injury to employees due to risky working conditions, etc.,” says Satish Ramchandani, Co-founder and Chief Business Officer of Updapt, an ESG tech firm. An example that can be followed, he says, is Tata Steel’s safety and health practices, which includes six long-term safety priorities backed by a robust management system framework such as incident and accident management,

THE ESG QUESTION

Customers are becoming more aware and demanding that companies take responsibility for their environmental and social footprint

Governments are increasingly putting in regulatory frameworks to enforce ESG policies

Investors are increasingly factoring in ESG considerations for their investment decisions

Companies that fail to comply with ESG regulations can face legal challenges